The audit. Three errors. One reversal.

Five independent reviewers took the block management recommendation apart. Three findings do not survive. This is what was wrong, and what to do instead.

The verdict

KILLED

Block management at £5,000 a month. The fee exceeds the buyer's entire pre-tax profit, the incumbent shipped the product two weeks ago, and the law does not say what I said it says.

SURVIVES — FOR A DIFFERENT REASON

Recruitment. Not because of admin volume. Because of **profit per employee**: £160,200 of fee income per consultant against roughly £6,000 of profit per block manager. The comparison is on page 5.

The deeper error: I chose the sector by how much admin it had, not by whether the client could afford the fee.

Error one — I priced above their profit

LINE	VALUE
1,000 units × £300 fee	£300,000
Pre-tax profit at 10%	£30,000
Foundation tier, £2,500/mo	**£30,000/yr — 100% of profit**
Brain + employee, £5,000/mo	**£60,000/yr — 200% of profit**

Both test tiers land above the whole profit line. At the smallest tier the fee equals 100% of pre-tax profit; at the tier the recommendation actually named, it is double. No managing director signs either.

Fees £150–£800/unit/yr (LevyBoard; Wilson Hawkins 2024–25). PBT margin 10–18%, median ~10% across 599 UK property-management companies (theaccounts.uk).

Error two — I inverted a number

I wrote that 1.23m units sat under ARMA members. The source says the opposite.

> *"…just 300 are members of ARMA. That means around 1.23 million residential units are managed by **non-ARMA** firms."*
>
> — *blockmanagementuk.ltd, ArticleID=139 (2020)*

1.23m is the **non-ARMA** book. The figure is also six years old, and the 4,100 firm count is a modelled estimate, not a register.

Error three — the law does not say that

I wrote that a managing agent can be the principal accountable person. It normally cannot. The accountable person is the freeholder, the RMC, the RTM company or the local authority; an agent acts **on behalf of** them.

> *"You can delegate the work; you cannot delegate the duty."*

The agent produces the evidence. The client signs it off. The "legal defensibility" pitch fails in most leasehold structures, and a competent client would correct it in the first meeting.

Errors four and five — the incumbent, and the 8%

ERROR FOUR — THE INCUMBENT SHIPPED IT

MRI, the system of record for block management, launched **Agora Orchestrator** on **6 October 2026**. First client: James Andrew Residential, 6,500 homes, automating accounting, document processing and maintenance triage. I was selling agentic automation into a market where the software vendor already gives it away, bundled, inside the platform the client already pays for.

ERROR FIVE — "SAME SOFTWARE" WAS 8%

8% of residential managing agents sit on the stack I called universal: 70 ARMA members out of roughly 870 firms. The whole argument rested on "one build works everywhere". Their own number says one build works at one firm in twelve.

The correction — ask what the role earns

TEST	RIGHT?
"How much admin do they have?"	Wrong
"What does that role cost?"	Wrong
"How much profit per head?"	**Right**

Admin volume is a pain measure. Profit per head is a payment measure. Only one of them pays your invoice.

The number that settles it

37%

Of one recruiter’s annual output pays a £60,000 fee. The same fee is 1,000% of one block manager’s profit. That is the entire audit in one comparison. Hays, year to 30 June 2025: **£972.4m of net fees from 6,070 consultants** — £160,200 of fee income generated per consultant, per year.

SECTOR	PER HEAD
Recruitment — fees generated	£160,200
Block management — profit generated	≈ £6,000

Hays plc preliminary results FY2025, via Carson & Gray. The £6,000 is my estimate: £300k revenue × 10% PBT ÷ 5 staff.

Corrected pricing — price the desk, not the person

The digital employee does not serve one recruiter. It serves a desk: 20–30 consultants all doing the same repeating tasks.

WHAT IT COVERS	FEE
One workflow, one branch	£1,500 pilot
A full desk, 20–30 consultants	**£5,000/mo**
Multi-branch group	£1,200/branch

£5,000/mo against 25 consultants is £2,400 a year each — about 1.5% of the fee income that consultant generates. That is a defensible invoice.

Test prices, not market rates: Foundation £2,500 setup + £750/mo; Brain + digital employee from £5,000/mo; Operations Audit £999. Unvalidated — confirm before quoting a client.

Direction

1. **Drop block management** — not forever, until you have a reference client.
2. **Run the profit-per-head test** on any sector before writing another word about it.
3. **Call Hurley and Hipkiss.** Both named, both reachable, both in a sector that can afford £5,000.
4. **Sell one desk, not one task.** The pilot proves it; the desk pays for it.
5. **Never cite your own pricing file as evidence again.** It is a test price, not a fact.

Sources

- “1.23 million … managed by non-ARMA firms” — blockmanagementuk.ltd, ArticleID=139 (2020)
- MRI Agora Orchestrator launch, JAR, 6,500 homes — mrisoftware.com/news, 6 October 2026
- Managing agents act for freeholders, RMCs and local authorities who hold the duty — Building Safety Act 2022, SI 2023/315; macfarlanes.com
- Fees £150–£800/unit/yr — LevyBoard; Wilson Hawkins, 2024–25
- PBT margin ~10%, 599 companies — theaccounts.uk
- Hays: £972.4m net fees / 6,070 consultants — Hays plc preliminary results FY2025, via Carson & Gray
- 70 ARMA members on Qube PM — flat-living.co.uk/qube-pm
- Qube 230+ block clients, 60%+ of TPI units — mrisoftware.com
- 1.5 × £41,067 = £61,601; loaded £71,283 → £3,960/mo per manager, so £5,000 buys 1.26 loaded managers, not 1.5
- Twinthos pricing status: TEST PRICES, NOT MARKET RATES — company/pricing.md